

its individual capacity but solely as owner trustee on behalf of Antlr Mortgage Trust 2021-RTL 1," which was the named plaintiff when the complaint initiating the action was filed. On November 20, 2024, the Court filed an order on the parties' "Stipulation for Substituting Real Parties in Interest Finance of America LLC and Wilmington Savings Fund Society, FSB as Trustee for Antlr Mortgage Trust 2024-RTL1 as Plaintiffs." (11/20/2024 Plaintiff Substitution Stipulation and Order.) The parties' stipulation states that following the filing of the complaint, the beneficial interest in the \$990,000 loan ("Loan 0004") was assigned to Finance of America LLC, and the beneficial interest in the \$825,000 loan ("Loan 0001") was assigned to Wilmington Savings Fund Society, FSB as Trustee for Antlr Mortgage Trust 2024-RTL1. (11/20/2024 Plaintiff Substitution Stipulation p. 2, ll. 10-24.)

The order on the November 20, 2024 Plaintiff Substitution Stipulation provides (1) Finance of America LLC and Wilmington Savings Fund Society, FSB as Trustee for Antlr Mortgage Trust 2024-RTL1, identified as the real parties in interest, will be substituted as plaintiffs, and (2) Finance of America LLC and Wilmington Savings Fund Society, FSB as Trustee for Antlr Mortgage Trust 2024-RTL1 are ordered to file a first amended complaint within 10 days of the Court's order. The first amended complaint was required to be filed by December 2, 2024 (November 30, 2024, 10 days following the Court's order was a Saturday).

Finance of America LLC and Wilmington Savings Fund Society, FSB as Trustee for Antlr Mortgage Trust 2024-RTL1 did not file the first amended complaint by the Court-set deadline or thereafter in violation of the order and despite the stipulation that those parties, as the real parties in interest who were assigned the loans subject to the action after the complaint was filed, will be substituted as plaintiffs in the case. Because the motion for summary judgment was not filed by the real parties in interest substituted as plaintiffs under the November 20, 2024 Plaintiff Substitution Stipulation and Order, and because the real parties in interest failed to file the first amended complaint as ordered by the Court, the motion is **DENIED, without prejudice** to refiling when these procedural issues are cured.

5. 9:00 AM CASE NUMBER: C24-00797
CASE NAME: MAHYAR NOORAEI VS. MATTHEW ARVIN
***HEARING ON MOTION IN RE: TO SET ASIDE DEFAULT**
FILED BY: ARVIN, MATTHEW
TENTATIVE RULING:

Before the Court is Defendants Matthew Arvin and Sepideh Matthew, individually and as co-trustees of the Arvin Matthew and Sepideh Matthew Declaration of Trust dated September 19, 2022's Motion to Set Aside Default ("Motion").

Defendants' Motion is **GRANTED**.

Procedural History

Plaintiffs filed their complaint on March 25, 2024. Plaintiffs filed Proofs of Service of Summons on August 11, 2025, indicating that both Defendants were personally served on June 17, 2025. As such, any responsive pleading was due on or before July 17, 2025. When no responsive pleadings were filed, Plaintiffs sought and were granted defaults against the Defendants on August 26, 2025.

Defendants filed the instant Motion on October 14, 2025. Plaintiffs oppose the Motion.

Standard

Defendants move to set aside the defaults pursuant to Code of Civil Procedure section 473(b). That section “includes a discretionary provision, which applies permissively, and a mandatory provision, which applies as of right.” (*Minick v. City of Petaluma* (2016) 3 Cal.App.5th 15, 25.) “Although this bifurcation is not demarcated in any internal subtitling, it is plainly evidence in the textual structure of the statute.” (*Ibid.*) Defendants rely upon the mandatory relief provision.

“[T]he court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney’s sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect vacate any . . . resulting . . . dismissal entered against his or her client....” (Code Civ. Proc. § 473, subd. (b).)

Relief under CCP § 473, subdivision (b) does not require Counsel to explain why he made the mistake, nor does it require him to show that the mistake was excusable. (*Martin Potts & Associates, Inc. v. Corsair, LLC* (2016) 244 Cal.App.4th 432, 439-440 “[T]he text of section 473 subdivision (b) does not require an explanation of reasons as a prerequisite to mandatory relief.”) Accordingly, 473(b) “at most demand[s] an attorney’s candid, full, and straightforward acknowledgment of his or her error; they do not speak to the reasons for those errors.” (*Ibid.*)

Analysis

Defense counsel submits a declaration noting that he has been a civil litigator in California for approximately 43 years. (¶ 2.) During that time, he has seen and reviewed “countless” issued summons and complaints. (*Ibid.*) He was contacted by the Defendants, whom he has represented in legal matters for several years, about a new legal matter. (¶¶ 3-4) Defendants provided him with a stack of papers that included the complaint filed in this case and a copy of a summons. (¶ 4.)

Defense counsel reviewed the documents including the summons and opined that there were several apparent defects in the documents which led him to believe it was not an ‘issued’ summons and that service on the Defendants was improper. (¶¶ 7-8.) He advised the Defendants as such. (¶ 8.) Instead of filing a responsive pleading, based on his mistaken belief that service was improper, he reached out to Plaintiffs’ counsel to attempt to work the situation out. (¶¶ 9-10.) Instead of coming to a compromise, Plaintiffs counsel sought and obtained the default against the Defendants. (*Ibid.*)

On its face, the above satisfies the requirements for mandatory relief.

Plaintiffs make several arguments in opposition. The first of which is that the defaults were not in fact caused by defense counsel’s mistake, inadvertence, surprise, or neglect. They argue that defense counsel’s actions in attempting to meet and confer with Plaintiff’s counsel instead of filing an answer was a deliberate tactical decision. This argument ignores, however, Plaintiffs’ counsel’s obligation to warn opposing counsel that they are going to seek a default and to allow time to cure.

Obligation to warn of impending default

“[I]t is now well acknowledged that an attorney has an *ethical* obligation to warn opposing counsel

that the attorney is about to take an adversary's default." (*Lasalle*, supra, 36 Cal.App.5th at 135.) In making this finding, the *Lasalle* Court "heartily endorse[d]" the related admonition found in the Rutter Group practice guide, which states:

"[Practice Pointer:] If you're representing plaintiff and have had *any* contact with a lawyer representing defendant, don't even attempt to get a default entered without first giving such lawyer *written* notice of your intent to request entry of default, and a reasonable time within which defendant's pleadings must be filed to prevent your doing so." (*Ibid.* quoting Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2008) ¶5:71, p. 5-17.) [Note – The 2025 version of the Rutter Guide still contains this Practice Pointer]

Although there were a minority of cases that held that an ethical breach did not mean there was a legal violation, the *Lasalle* court distinguished those cases, finding they did not consider the enactment of Code of Civil Procedure section 583.130 in January 1984. (*Lasalle*, 36 Cal.App.5th at 136-137.) California Code of Civil Procedure section 583.130 states, in relevant part, that it "is the policy of this state that a plaintiff shall proceed with reasonable diligence in prosecution of any action but that ***all parties shall cooperate*** in bringing the action to trial or other disposition." (Code Civ. Proc. § 583.130, emphasis added.) "That is not complicated language... The policy of the state is that the parties to a lawsuit 'shall cooperate.' Period. Full Stop." (*Lasalle*, 36 Cal.App.5th at 130.)

Given the above, the "ethical obligation to warn opposing counsel of an intent to take a default is now reinforced by a statutory policy that all parties 'cooperate in bringing the action to trial or other disposition.'" (*Id.* at 137.) "Quiet speed and unreasonable deadlines do not qualify as 'cooperation' and cannot be accepted by the courts." (*Ibid.*)

The "obligation to advise opposing counsel of an impending default is part of an attorney's responsibility to the court and the legal profession and takes precedence over the obligation to represent the client effectively." (*Shapell Social Rental Properties, LLC v. Chico's FAS, Inc.* (2022) 85 Cal.App.5th 198, 213 citing *Lasalle*, 36 Cal.App.5th at 134, 137.)

Defense counsel's declaration makes clear that he reached out to Plaintiffs' counsel to explain his position before the defaults were taken. (¶¶ 9-10.) It also makes clear that Plaintiffs' counsel never mentioned seeking to take the defaults of the Defendants during those discussions, stating that he "learned, after the fact, of the default." (¶ 10.) Plaintiffs' counsel does not provide a declaration disputing this account of events.

Defense counsel acted in good faith by reaching out to Plaintiffs' counsel to try and discuss the issues related to service that he observed. Instead of acting reasonably and in good faith and coming to an agreement regarding the filing of a responsive pleading, Plaintiffs' counsel surreptitiously sought and obtained Defendants' defaults.

The California Supreme Court has set forth, over the years, the principles to be applied by a court involving motions for relief from default. Perhaps the three most significant are these:

- "[T]he policy of the law is to have every litigated case tried upon its merits, and it looks with disfavor upon a party, who, regardless of the merits of the case, attempts to take advantage

of the mistake, surprise, inadvertence, or neglect of his adversary.” (*Au-Yang v. Barton* (1999) 21 Cal.4th 958, 963 quoting *Weitz v. Yankosky* (1966) 63 Cal.2d 849, 855.)

- “Because the law favors disposing of cases on their merits, ‘any doubt in applying [CCP] section 473 must be resolved in favor of the party seeking relief from default.” (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 980 quoting *Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.)
- “[V]ery slight evidence will be required to justify a court in setting aside the default.” (*Elston, supra*, 38 Cal.3d at 233

Plaintiffs’ arguments regarding defense counsel’s actions being a deliberate strategic decision that does not amount to a mistake, inadvertence, or neglect are not well taken. Plaintiffs have also failed to show any prejudice by allowing the defaults to be set aside.

Conclusion

Based on the above, Defendants’ Motion is **GRANTED**. The defaults entered on August 26, 2025, are set aside. Defendants shall file their responsive pleadings within ten (10) days of notice of entry of the Order on this Motion.

6. 9:00 AM CASE NUMBER: C24-03119

CASE NAME: CARL DEXTER VS. NEWREZ LLC

***HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS**

FILED BY: NEWREZ LLC

TENTATIVE RULING:

Introduction

Before the Court is Defendant NewRez LLC dba Shellpoint Mortgage Servicing’s (“Defendant Shellpoint”) motion to expunge lis pendens and attorney’s fees. The motion is brought under Code of Civil Procedure section 405.32 on the grounds that Plaintiff Carl Dexter, as administrator of The Estate of Gene E. Jeter, Jr. cannot prove the probable validity of his real property claim by a preponderance of the evidence.

For the following reasons, **Defendant’s motion is GRANTED, and each party shall bear their own fees and costs.**

Factual Background

Gene E. Jeter, Jr. was given a loan for the Property which was secured by a Deed of Trust (“DOT”) executed on July 26, 2021. (Foster Decl. at ¶ 3, Exhibit 1.) The DOT is in favor of Mortgage Electronic Registration Systems, Inc., as nominee for Premier Mortgage Resources, LLC (See, Exhibit 1.) Mr. Jeter passed away in June 2022. (Complaint ¶1.)

The beneficial interest in the DOT transferred to NewRez LLC dba Shellpoint Mortgage Servicing (“Defendant”), as memorialized by the Corporate Assignment of Deed of Trust (Foster Decl. at ¶ 4, Exhibit 2.) The loan became delinquent. Defendant substituted Prestige Default Services LLC as the